

**ENGLISH** **LIVE**

**46**

# **COMPREHENSION & VOCABULARY**

**UPSC / BANK PO / SSC / OTHERS**

**SESSION - 46**

**31<sup>st</sup> MARCH, 2017**

## Good idea, bad plan

DBT for fertilisers has to be similar to that on LPG

The fact that, as this newspaper reported on Wednesday, the government has been able to start various pilot projects on direct benefits transfer (DBT)—it has been done in 11 districts already—is a big positive and suggests that, over the next 6-12 months, it should be possible to cover the entire country; with 77% of point-of-sale outlets already equipped with Aadhaar-readers, it may take even less time. The problem is that the 'DBT for subsidised fertiliser' project is loosely conceived and is unlikely to achieve its objectives, of reducing leakages of subsidies, encouraging the industry to grow and empowering farmers. What makes this a bigger pity is that the government already has a well-functioning DBT scheme for cooking gas (LPG); so, all that needed to be done was to copy that.

In the LPG scheme, customers get a fixed amount of subsidy in their bank accounts, and they pay the market price to the LPG supplier. Since all purchases are done at market prices, there are no dues for suppliers and this encourages new players to enter the market as well. In the case of fertilisers, however, purchases are made—based on an Aadhaar authentication of the buyer—at a price which is, right now, 30-40% of the market price; the balance is then credited to the suppliers' account. If this happens as soon as the sale happens, there is no difference—at the beginning of the year, dues to fertiliser firms exceeded ₹43,000 crore. With their fate in the hands of government policy on dues, it is unlikely too many new players would want to enter the market.

Also, in the case of LPG, there is a fixed number of cylinders everyone gets in a year; the subsidy is also known. For fertilisers, all that the DBT does is to authenticate who is buying it, there is no cap on the amount or the subsidy. Since 10-15% of fertiliser gets diverted to other countries or to industrial uses, in a DBT scenario, a farmer can buy 10 kg or 100 kg or 1,000 kg and be part of the diversion—ideally then, the government must come up with per acre norms of usage and fix a ceiling on how much will be eligible for a subsidy; the subsidy per kg should also be fixed in advance. One argument against this is that, since all urea is neem-coated, the scope for diversion is limited—experts, however, argue that this may prevent urea from being mixed in milk, it does not stop it from being used in plywood manufacturing; to the extent, neem-coated urea makes it better, it reinforces the case for smuggling for use in farms in neighbouring Nepal and Bangladesh. Doing fertiliser subsidies the LPG way has another advantage in that it empowers farmers—China has moved to giving all input subsidies to farmers in cash. Once farmers get the subsidy in their bank accounts, they can decide how much of fertiliser they want to use, and even which one; but if the current system continues, farmers have no incentive to lower usage—this is why, right now, there is so much overuse of urea which also damages the soil. Indeed, the government also needs to move to LPG-style DBT for ration shops so the corrupt and distorting FCI system can be ended and farmers freed to grow the crop the market wants, not just what the government is able to buy.

**FE** The Financial Express

Date : 25<sup>th</sup> March, 2017

## DISCUSSION ON 31<sup>st</sup> Mar (Today)

## DISCUSSION ON 4<sup>th</sup> April (Tuesday)

BusinessLine

FRIDAY, MARCH 31, 2017

### Final run-up to GST

*The passage of four Bills is a milestone, but the devil lies in the details*

The passage of four GST laws in the Lok Sabha on Wednesday—the Central GST Bill, the Integrated GST Bill, the Union Territories GST Bill, and one on compensating the States for the transition—could not have come as a surprise, but the furor it caused certainly did. The Opposition seemed nettled over an issue that has seen years of deliberation between the Centre and the States. The objections seemed to arise out of a general climate of political acrimony—made worse by the recent packaging of numerous rules and laws as Money Bills—rather than serious misgivings over the Goods and Services Tax as such. Even so, the passage of the four Bills marks a big step forward to a more consistent set of rates for goods and services across States, as against the jungle of Central and State levies and cesses that prevail today. The next step is for the GST Council to arrive at and recommend a set of rates, and the respective goods and services for each category. The ceiling rates are expected to be, besides 0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent; each of these rates would be the sum of CGST and SGST rates in the case of intra-State transfers, or the IGST rate in the case of inter-State transfers. The Council's task is to ensure that the exempted list is as small and uniform as possible across States, besides persuading most States not to vary their rates too much from its prescribed bands.

The Opposition seems to be going too far when it fears that the GST Council will turn into a supra-Parliament. The Council, with votes weighted in favour of the States, is expected to operate consensually—and this has been a mark of the GST negotiations. The law allows the States leeway to depart from a recommended SGST rate, even if that would dilute the spirit of the exercise. Therefore, the challenges ahead lie not in procedural matters such as the passage of GST laws, but in ensuring that the GST Council displays the leadership skills to carry everyone along. The finance minister should bear in mind that a trial run will help sort out teething troubles.

One such could lie in the software. The monthly filing of GST returns is 'auto-populated'—which means that a registered supplier (one with a turnover above ₹20 lakh) must upload all details of his transactions, with the tax element, which can actually be accessed by the rest in his supply chain, besides, of course, the tax authorities. Such humongous data gathering has not been attempted elsewhere, and the software should be tested. The capacity of State tax authorities, so far used to taxing goods and not services, to deal with the latter is an unknown quantity. The success of GST depends on political consensus, technology and the capacity of tax officials to adapt to the new requirements.

LIVE

THE HINDU  
BusinessLine

Date : 31<sup>st</sup> March, 2017



## Good idea, bad plan

DBT for fertilisers has to be similar to that on LPG

The fact that, as this newspaper reported on Wednesday, the government has been able to start various pilot projects on direct benefits transfer (DBT)—it has been done in 11 districts already—is a big positive and suggests that, over the next 6-12 months, it should be possible to cover the entire country; with 77% of point-of-sale outlets already equipped with Aadhaar-reading scanners, it may take even less time. The problem is that the 'DBT for subsidised fertiliser' project is loosely conceived and is unlikely to achieve its objectives, of reducing leakages of subsidies, encouraging the industry to grow and empowering farmers. What makes this a bigger pity is that the government already has a well-functioning DBT scheme for cooking gas (LPG); so, all that needed to be done was to copy that.

In the LPG scheme, customers get a fixed amount of subsidy in their bank accounts, and they pay the market price to the LPG supplier. Since all purchases are done at market prices, there are no dues for suppliers and this encourages new players to enter the market as well. In the case of fertilisers, however, purchases are made—based on an Aadhaar authentication of the buyer—at a price which is, right now, 30-40% of the market price; the balance is then credited to the suppliers' account. If this happens as soon as the sale happens, there is no difference—at the beginning of the year, dues to fertiliser firms exceeded ₹43,000 crore. With their fate in the hands of government policy on dues, it is unlikely too many new players would want to enter the market.

Also, in the case of LPG, there is a fixed number of cylinders everyone gets in a year; the subsidy is also known. For fertilisers, all that the DBT does is to authenticate who is buying it, there is no cap on the amount or the subsidy. Since 10-15% of fertiliser gets diverted to other countries or to industrial uses, in a DBT scenario, a farmer can buy 10 kg or 100 kg or 1,000 kg and be part of the diversion—ideally then, the government must come up with per acre norms of usage and fix a ceiling on how much will be eligible for a subsidy; the subsidy per kg should also be fixed in advance. One argument against this is that, since all urea is neem-coated, the scope for diversion is limited—experts, however, argue that this may prevent urea from being mixed in milk, it does not stop it from being used in plywood manufacturing; to the extent, neem-coated urea makes it better, it reinforces the case for smuggling for use in farms in neighbouring Nepal and Bangladesh. Doing fertiliser subsidies the LPG way has another advantage in that it empowers farmers—China has moved to giving all input subsidies to farmers in cash. Once farmers get the subsidy in their bank accounts, they can decide how much of fertiliser they want to use, and even which one; but if the current system continues, farmers have no incentive to lower usage—this is why, right now, there is so much overuse of urea which also damages the soil. Indeed, the government also needs to move to LPG-style DBT for ration shops so the corrupt and distorting FCI system can be ended and farmers freed to grow the crop the market wants, not just what the government is able to buy.

## Good idea, bad plan



Date : 25<sup>th</sup> March, 2017



# Good idea, bad plan

**LIVE**

## ■ DBT for fertilisers has to be similar to that on LPG

- The fact that, as this newspaper reported on Wednesday, the government has been able to start various **pilot projects** on direct benefits transfer (DBT)—it has been done in 11 districts already—is a big positive and suggests that, over the next 6-12 months, it should be possible to cover the entire country; with 77% of point-of-sale outlets already equipped with Aadhaar-reading scanners, it may take even less time.
- The problem is that the 'DBT for subsidised fertiliser' project is loosely **conceived** and is unlikely to achieve its objectives, of reducing leakages of subsidies, encouraging the industry to grow and **empowering** farmers. What makes this a bigger pity is that the government already has a well-functioning DBT scheme for cooking gas (LPG); so, all that needed to be done was to copy that.
- In the LPG scheme, customers get a fixed amount of subsidy in their bank accounts, and they pay the market price to the LPG supplier. Since all purchases are done at market prices, there are no dues for suppliers and this encourages new players to enter the market as well. In the case of fertilisers, however, purchases are made—based on an Aadhaar **authentication** of the buyer—at a price which is, right now, 30-40% of the market price; the balance is then credited to the suppliers' account. If this happens as soon as the sale happens, there is no difference—at the beginning of the year, dues to fertiliser firms exceeded Rs 43,000 crore. With their **fate** in the hands of government policy on dues, it is unlikely too many new players would want to enter the market.
- Also, in the case of LPG, there is a fixed number of cylinders everyone gets in a year, the subsidy is also known. For fertilisers, all that the DBT does is to authenticate who is buying it, there is no **cap** on the amount or the subsidy. Since 10-15% of fertiliser gets diverted to other countries or to industrial uses, in a DBT scenario, a farmer can buy 10 kg or 100 kg or 1,000 kg and be part of the diversion—ideally, then, the government must come up with per acre norms of usage and fix a ceiling on how much will be eligible for a subsidy; the subsidy per kg should also be fixed in advance.
- One argument against this is that, since all urea is **neem-coated**, the scope for diversion is limited—experts, however, argue that this may prevent urea from being mixed in milk, it does not stop it from being used in plywood manufacturing; to the extent, neem-coated urea makes it better, it **reinforces** the case for **smuggling** for use in farms in neighbouring Nepal and Bangladesh.
- Doing fertiliser subsidies the LPG way has another advantage in that it **empowers** farmers—China has moved to giving all **input subsidies** to farmers in cash. Once farmers get the subsidy in their bank accounts, they can decide how much of fertiliser they want to use, and even which one; but if the current system continues, farmers have no **incentive** to lower usage—this is why, right now, there is so much overuse of urea which also damages the soil.
- **Indeed**, the government also needs to move to LPG-style DBT for ration shops so the corrupt-and-**distorting** FCI-system can be ended and farmers freed to grow the crop the market wants, not just what the government is able to buy.



***Govt. plans to roll out Direct Benefit Transfer for fertilizer subsidy from June 30, 2017 across the country.***

## **SALIENT POINTS**

- It will be given at the producer's end.
- After capturing the Aadhaar number through a Point of Sale machine of the farmer, when he purchases a bag of fertilizer, the subsidy will be given to the producer.
- The difference between the actual value and the subsidised price of fertilizer will then be transferred to the producer's bank account.
- Further the nutrient mix of the fertilizer will be based on the report of the soil health card of the farmer.
- Direct cash transfer with Aadhaar linkage for fertilizer subsidy along with neem coated urea and soil health cards can lead to significant savings.



## PAHAL SCHEME (DIRECT BENEFIT TRANSFER FOR LPG)





## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

- DBT for fertilisers has to be similar to that on LPG
- The fact that, as this newspaper reported on Wednesday, the government has been able to start various **pilot projects** on direct benefits transfer (DBT)—it has been done in 11 districts already—is a big positive and suggests that, over the next 6-12 months, it should be possible to cover the entire country; with 77% of point-of-sale outlets already equipped with Aadhaar-reading scanners, it may take even less time.



## Pilot project

*The Union Government is implementing the Direct Benefit Transfer for kerosene as a **pilot project** in some districts of the country.*



**Pilot project**

Activity planned as a test or trial





## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

The problem is that the 'DBT for subsidised fertiliser' project is loosely **conceived** and is unlikely to achieve its objectives, of reducing leakages of subsidies, encouraging the industry to grow and **empowering** farmers. What makes this a bigger pity is that the government already has a well-functioning DBT scheme for cooking gas (LPG); so, all that needed to be done was to copy that.



## Conceived



**Conceived**

To become pregnant



*Baahubali was **conceived** by S.S. Rajamouli, for which he got worldwide acclaim.*

**Conceived**

To invent a plan or an idea

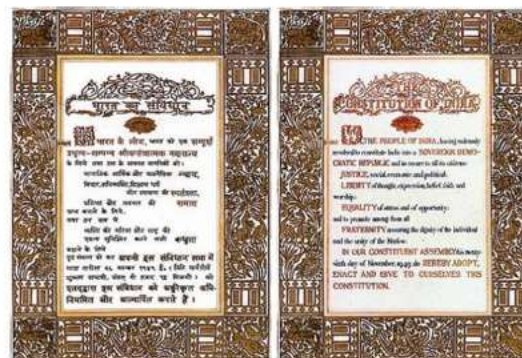


# Empower

Bank loans  
to Self Help  
Groups in our  
country is  
**empowering**  
women.



Self Help Groups



73<sup>rd</sup> & 74<sup>th</sup>  
Amendments to  
the Constitution  
**empowered**  
Panchayati Raj  
Institutions in  
our country.

## Empower

The process of giving people / organization more freedom / rights  
/ official authority / legal power



## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

In the LPG scheme, customers get a fixed amount of subsidy in their bank accounts, and they pay the market price to the LPG supplier. Since all purchases are done at market prices, there are no dues for suppliers and this encourages new players to enter the market as well. In the case of fertilisers, however, purchases are made—based on an Aadhaar **authentication** of the buyer—at a price which is, right now, 30-40% of the market price; the balance is then credited to the suppliers' account. If this happens as soon as the sale happens, there is no difference—at the beginning of the year, dues to fertiliser firms exceeded Rs 43,000 crore. With their **fate** in the hands of government policy on dues, it is unlikely too many new players would want to enter the market.



## Authenticate

***Authentication*** of the citizen's identity assumed significance in view of loan-wolf attacks and terrorism threats globally.



***Authenticate***

Action / process of proving something to be true, genuine, or valid



# Fate



*His **fate** is now  
in the hands of  
the jury.*



***Fate** has  
brought them  
together.*



*It is always their  
**fate** to be left  
behind.*



## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

Also, in the case of LPG, there is a fixed number of cylinders everyone gets in a year, the subsidy is also known. For fertilisers, all that the DBT does is to authenticate who is buying it, there is no **cap** on the amount or the subsidy. Since 10-15% of fertiliser gets diverted to other countries or to industrial uses, in a DBT scenario, a farmer can buy 10 kg or 100 kg or 1,000 kg and be part of the diversion—ideally, then, the government must come up with per acre norms of usage and fix a ceiling on how much will be eligible for a subsidy; the subsidy per kg should also be fixed in advance.



Cap



*Limit on the amount  
of money that can  
be charged.*

Cap

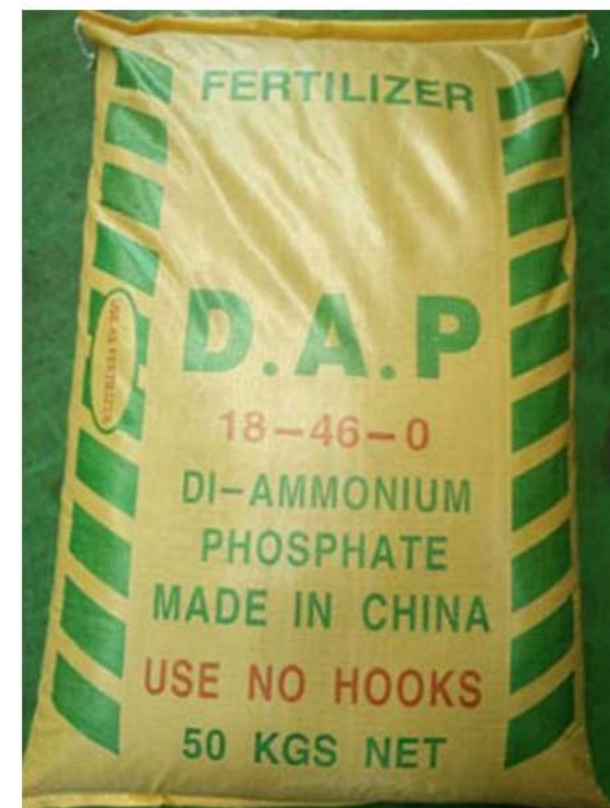


## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

One argument against this is that, since all urea is **neem-coated**, the scope for diversion is limited—experts, however, argue that this may prevent urea from being mixed in milk, it does not stop it from being used in plywood manufacturing; to the extent, neem-coated urea makes it better, it **reinforces** the case for **smuggling** for use in farms in neighbouring Nepal and Bangladesh.





## AADHAR ENABLED PAYMENT SYSTEM





## NEEM COATED UREA

Govt. increased neem coated urea production from 35% to 100% in 2015.

- (Previously, only 35% of total production was neem coated and now 100 % is neem coated.
- Neem coated urea releases Nitrogen slowly, which ultimately helps in the fertility of soil.
- This results in more yields with less usage of urea per hectare.

1. Neem Coating also prevents the diversion of urea for industrial use through black market.
2. It also acts as an insecticide.
3. However, it is costly by just 5%.



## Reinforce

*The Indian army has sent one more battalion to **reinforce** the troops in Jammu & Kashmir.*



**Reinforce**

To make something stronger



## Smuggle

*After the imposition of customs duty on gold at 10%, **smuggling** of gold increased from the Gulf countries.*



### Smuggle

To import or export something secretly in violation of the customs law of the land



## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

Doing fertiliser subsidies the LPG way has another advantage in that it **empowers** farmers—China has moved to giving all **input subsidies** to farmers in cash. Once farmers get the subsidy in their bank accounts, they can decide how much of fertiliser they want to use, and even which one; but if the current system continues, farmers have no **incentive** to lower usage—this is why, right now, there is so much overuse of urea which also damages the soil.



# Empower

Bank loans  
to Self Help  
Groups in our  
country is  
**empowering**  
women.



Self Help Groups



73<sup>rd</sup> & 74<sup>th</sup>  
Amendments to  
the Constitution  
**empowered**  
Panchayati Raj  
Institutions in  
our country.

## Empower

The process of giving people / organization more freedom / rights  
/ official authority / legal power



## *Input subsidy*

- This reduces the cost of inputs
- The subsidies on inputs may include: subsidy on seeds, fertilizers, irrigation, electricity and credit, etc.
- It makes adoption of new technologies more attractive
- It will increase profitability
- It will reduce the risks perceived by the farmers.





# Incentive

Cash *incentives* will go a long way in increasing digital transactions.



## *Incentive*

Something that encourages a person or organization to do something



## Good idea, bad plan

**FE** The Financial Express

25<sup>th</sup> March 2017

*Indeed*, the government also needs to move to LPG-style DBT for ration shops so the corrupt-and-*distorting* FCI-system can be ended and farmers freed to grow the crop the market wants, not just what the government is able to buy.



## Indeed

*Indeed, Paris Pact is one of the most important multilateral treaties in the world.*



PARIS2015  
UN CLIMATE CHANGE CONFERENCE  
COP21-CMP11

*I am happy, indeed proud, as my son got selected for SBI PO.*



**Indeed**

Really / certainly, often used to emphasize something

**Indeed**

Add some extra information



## *Distort*

*Excessive heat caused  
the wax figure to  
**distort.***



## ***Distort***

To twist out of a natural/normal condition



## Final run-up to GST

*The passage of four Bills is a milestone, but the devil lies in the details*

The passage of four GST laws in the Lok Sabha on Wednesday — the Central GST Bill, the Integrated GST Bill, the Union Territories GST Bill, and one on compensating the States for the transition — could not have come as a surprise, but the furore it caused certainly did. The Opposition seemed nettled over an issue that has seen years of deliberation between the Centre and the States. The objections seemed to arise out of a general climate of political acrimony — made worse by the recent packaging of numerous rules and laws as Money Bills — rather than serious misgivings over the Goods and Services Tax as such. Even so, the passage of the four Bills marks a big step forward to a more consistent set of rates for goods and services across States, as against the jungle of Central and State levies and cesses that prevail today. The next step is for the GST Council to arrive at and recommend a set of rates, and the respective goods and services for each category. The ceiling rates are expected to be, besides 0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent; each of these rates would be the sum of CGST and SGST rates in the case of intra-State transfers, or the IGST rate in the case of inter-State transfers. The Council's task is to ensure that the exempted list is as small and uniform as possible across States, besides persuading most States not to vary their rates too much from its prescribed bands.

The Opposition seems to be going too far when it fears that the GST Council will turn into a supra-Parliament. The Council, with votes weighted in favour of the States, is expected to operate consensually — and this has been a mark of the GST negotiations. The law allows the States leeway to depart from a recommended SGST rate, even if that would dilute the spirit of the exercise. Therefore, the challenges ahead lie not in procedural matters such as the passage of SGST laws, but in ensuring that the GST Council displays the leadership skills to carry everyone along. The finance minister should bear in mind that a trial run will help sort out teething troubles.

One such could lie in the software. The monthly filing of GST returns is 'auto-populated' — which means that a registered supplier (one with a turnover above ₹20 lakh) must upload all details of his transactions, with the tax element, which can actually be accessed by the rest in his supply chain, besides, of course, the tax authorities. Such humongous data gathering has not been attempted elsewhere, and the software should be tested. The capacity of State tax authorities, so far used to taxing goods and not services, to deal with the latter is an unknown quantity. The success of GST depends on political consensus, technology and the capacity of tax officials to adapt to the new requirements.

LIVE

DISCUSSION ON  
4<sup>th</sup> Mar (Tuesday)THE HINDU  
BusinessLineDate : 31<sup>st</sup> March, 2017